



Quarterly Report
of the Dino Polska S.A. Group
for Q3 2021



Unofficial translation. Only the Polish version is binding.

“DINO POLSKA” S.A. (“Dino”, “Company”, “parent company”)

Joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. NIP no. 6211766191, REGON no. 300820828. The Company's share capital as at 30 September 2021 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document (“Q3 2021 Report”, “Report”) comprises the condensed quarterly consolidated financial statements (unaudited) of the Dino Polska Group (“Group”, “Dino Group”) for the third quarter of 2021 (“Financial Statements”), the Company's condensed financial information and additional information required by the pertinent legal regulations.

Unless specified otherwise, the data in this Report comes from Dino. This document was prepared on 4 November 2021 (“Report Date”).

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1. DINO GROUP'S FINANCIAL HIGHLIGHTS

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>01.01.2021- 30.09.2021</i>	<i>01.01.2020- 30.09.2020</i>	<i>01.01.2021- 30.09.2021</i>	<i>01.01.2020- 30.09.2020</i>
Sales revenue	9,498,075	7,362,137	2,083,597	1,657,392
Operating profit	731,328	578,269	160,432	130,182
Profit before tax	699,650	540,773	153,483	121,741
Net profit	569,769	440,378	124,990	99,140
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	5.81	4.49	1.27	1.01
Cash flow from operating activities	756,508	448,560	165,955	100,982
Cash flow from investing activities	(1,038,462)	(680,900)	(227,808)	(153,287)
Cash flow from financing activities	(109,843)	170,120	(24,096)	38,298
Net change in cash and cash equivalents	(391,797)	(62,220)	(85,949)	(14,007)

* In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- NBP's average exchange rate for Q1-Q3 2021:	4.5585
- NBP's average exchange rate for Q1-Q3 2020:	4.4420

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>30.09.2021</i>	<i>31.12.2020</i>	<i>30.09.2021</i>	<i>31.12.2020</i>
Total assets	6,050,436	5,570,510	1,305,972	1,207,097
Total non-current assets	4,863,200	4,053,812	1,049,710	878,437
Total current assets	1,187,236	1,516,698	256,262	328,660
Equity	2,836,332	2,266,563	612,215	491,151
Share capital	9,804	9,804	2,116	2,124
Non-current liabilities	971,497	1,223,256	209,695	265,072
Current liabilities	2,242,607	2,080,691	484,061	450,873

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 30 September 2021:	4.6329
- NBP's average exchange rate as at 31 December 2020:	4.6148

2. MANAGEMENT BOARD ACTIVITY REPORT

2.1. Operations of the Dino Group

2.1.1. Business profile

Dino is a Polish network consisting of medium-sized grocery supermarkets located close to clients' places of residence. The Company is one of the fastest growing retail grocery networks in Poland measured by the number of stores and revenues.

As at 30 September 2021, the Dino network consisted of 1,706 stores with a total selling area of 666,843 square meters. Dino Polska has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 811, i.e. 91%, in the period of three years up to 30 September 2021. Its network expansion has been accompanied by significant like for like (LFL) revenue growth in its existing store network, which in the period of January-September 2021 stood at 9.9% compared to the corresponding period of 2020. Dino Polska continues to develop its network rapidly, consistently looking for sites for its new stores.

Dino Polska's operating strategy is based on a standardized store design, equipped with parking places for its customers and supplied with fresh products every day of the week (except for Sundays). The sales floor area in most stores is approx. 400 square meters. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products as well as a meat counter manned by store staff.

Dino Polska's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on seven distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They also enable Dino to purchase merchandise on favorable terms that should improve steadily as the sales network continues to expand. These drivers, combined with operational leverage and store network maturation, consistently enhance Dino Polska Group profitability.

Dino's strategy assumes further business development by focusing on three key areas:

- continuation of rapid organic growth in the number of stores – the Management Board of Dino Polska intends to maintain the high pace of growth of the selling area in Dino stores in subsequent years. The Management Board of Dino Polska plans to continue to leverage the network's ability to grow organically in its current form by doing the following: (i) continuing to drive up its store density in its current areas of operation and (ii) steadily expanding in new regions, which ultimately should have a similar saturation of Dino stores to other regions.
- continuing to grow LFL sales revenues in the current store network – to continue growing LFL sales revenues in the existing store network, Dino Polska will take actions to augment customer traffic in Dino stores and the basket value per customer.
- consistent improvement of profitability – in past years Dino Polska generated sustainable growth in its EBITDA margin. The aim is to continue to improve profitability by expanding the scale of operations and thanks to the favorable business model and strategic initiatives undertaken by Dino Polska.

We regularly analyze the risks and opportunities related to climate change as we pursue Dino Polska's business objectives. Conserving and managing natural resources rationally are firmly entrenched in our organizational culture, while our strategy aims to curtail gradually the environmental impact exerted by the operations of the Dino Polska Group. In 2021 Dino Polska has continued to install photovoltaic panels on the rooftops of Dino stores whereby the Dino Polska Group's electricity demand is being satisfied to an ever greater degree by renewable energy sources. In the period from January to September 2021 the number of Dino stores outfitted with their own photovoltaic installations rose from 365 to 751 while the total capacity of these panels climbed to roughly 27 MW. In this very same period the Dino Group generated 13.2 GWh of electricity from the sun versus 2.2 GWh in the corresponding period of 2020.

2.1.2. Recap of the Dino Group's operations in Q3 2021

In Q3 2021 the Dino Group's revenue was PLN 3,487.0 million, meaning it was up by PLN 810.7 million, i.e. 30.3% higher than in Q3 2020. Concurrently, the cost of sales climbed 32.3% to PLN 2,616.4 million. Year-to-date, in the first 9 months of 2021 the Dino Group's revenue totaled PLN 9,498.1 million and was up PLN 2,135.9 million, or 29.0% higher compared to the corresponding period of 2020. At the same time, the cost of sales rose 29.3% to PLN 7,114.2 million.

The table below presents selected line items from the consolidated statement of profit or loss.

(PLN 000s)	Q3 2021	Q3 2020	change	Q1-Q3 2021	Q1-Q3 2020	change
Sales revenue	3,487,043	2,676,341	30.3%	9,498,075	7,362,137	29.0%
Cost of sales	(2,616,417)	(1,977,058)	32.3%	(7,114,195)	(5,500,761)	29.3%
Gross profit on sales	870,626	699,283	24.5%	2,383,880	1,861,376	28.1%
Other operating income	2,044	1,458	40.2%	6,201	5,091	21.8%
Sales and marketing expenses	(547,392)	(431,296)	26.9%	(1,569,677)	(1,213,498)	29.4%
General administration expenses	(29,274)	(25,392)	15.3%	(80,238)	(70,938)	13.1%
Other operating expenses	(3,105)	(631)	392.1%	(8,838)	(3,762)	134.9%
Operating profit	292,899	243,422	20.3%	731,328	578,269	26.5%
Financial income	166	210	-21.0%	810	2,939	-72.4%
Financial expenses	(11,481)	(12,573)	-8.7%	(32,488)	(40,435)	-19.7%
Profit before tax	281,584	231,059	21.9%	699,650	540,773	29.4%
Income tax	(52,824)	(42,596)	24.0%	(129,881)	(100,395)	29.4%
Net profit	228,760	188,463	21.4%	569,769	440,378	29.4%

In Q3 2021 profit measured by EBITDA grew year on year by 21.8% to PLN 357.8 million. The EBITDA margin was 10.3% versus the 11.0% margin posted one year ago. Year-to-date, in the first 9 months of 2021 profit measured by EBITDA grew year on year by 26.0% to PLN 910.5 million. The EBITDA margin was 9.6% versus the 9.8% margin posted one year ago.

The following table presents EBITDA.

(PLN 000s)	Q3 2021	Q3 2020	change	Q1-Q3 2021	Q1-Q3 2020	change
Net profit	228,760	188,463	21.4%	569,769	440,378	29.4%
Income tax	(52,824)	(42,596)	24.0%	(129,881)	(100,395)	29.4%
Result on financing activity	(11,315)	(12,363)	-8.5%	(31,678)	(37,496)	-15.5%
EBIT	292,899	243,422	20.3%	731,328	578,269	26.5%
EBIT margin	8.4%	9.1%	-	7.7%	7.9%	-
Depreciation and amortization	(64,929)	(50,460)	28.7%	(179,193)	(144,452)	24.1%
EBITDA	357,828	293,882	21.8%	910,521	722,721	26.0%
EBITDA margin	10.3%	11.0%	-	9.6%	9.8%	-

Sales revenue

Significant top line improvement is the outcome of Dino's store network roll-out to open new stores and growing revenues in current stores (like for like, LfL)¹. LfL sales growth in Q3 2021 was 10.6%, compared to the corresponding period of 2020. In January-September 2021 LfL sales growth was 9.9%.

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's current store network.

%	2021			Q1-Q3			2020	2019	2018
	Q3	Q2	Q1	2021	2020	2019			
Inflation (deflation)	5.4	4.5	2.7	4.2	3.6	2.1	3.2	2.3	1.6
Food price inflation	3.8	1.6	0.6	2.0	5.8	4.4	4.7	4.9	2.6
Dino's LFL	10.6	11.7	7.0	9.9	13.0	11.4	12.6	11.6	11.6

¹ Stores are included in the calculation of LfL revenues starting from the 13th full month of their existence.

Fresh products, including meat, cold cuts and poultry, accounted for 36.7% of the Group's sales in Q3 2021 and for 37.5% in the January-September 2021 period.

The table below shows the structure of sales revenues by product in individual periods.

%	Q3 2021	Q3 2020	Q1-Q3 2021	Q1-Q3 2020
Fresh products	36.7	36.9	37.5	38.7
Other groceries*	51.2	51.1	49.9	48.8
Non-grocery products	12.1	12.0	12.6	12.5

** in particular: children's food, breakfast products, ready to eat meals, beverages, candies, snacks, frozen food, processed goods, oils, grain and bulk products, condiments and alcohol and cigarettes*

Dino store network roll-out

In Q3 2021, 84 new Dino stores were opened, or 22% more than last year. Year-to-date from the beginning of 2021, 234 new stores have been opened in total versus 153 in the corresponding period of last year. As at 30 September 2021, the Dino network consisted of 1,706 stores, 335 more than last year.

The following table presents information on the Dino Group's number of stores as at specified dates.

	As at 30 September		As at 31 December		
	2021	2020	2020	2019	2018
Number of new store openings (YTD)	234	153	255	243	202
Total number of stores	1,706	1,371	1,473	1,218	977
Total selling area (m ²)	666,843	532,700	573,489	472,224	375,715
Growth of sales area y/y	25.2%	23.7%	21.4%	25.7%	27.3%

Cost of sales

The cost of sales was 75.0% and 73.9% of revenue, respectively in Q3 2021 and Q3 2020. The cost of sales rose PLN 639.4 million, i.e. by 32.3% to PLN 2,616.4 million in Q3 2021 compared to PLN 1,977.1 million in Q3 2020, with a corresponding 30.3% increase of revenue. This growth was caused mainly by the Dino Group's growing business size in connection with the expansion of the Dino Group's store network and rising sales in the current store network (LFL).

Sales and marketing expenses

Sales and marketing expenses grew by PLN 116.1 million, i.e. 26.9% to PLN 547.4 million in Q3 2021 compared to PLN 431.3 million in Q3 2020. This growth was mainly driven by the Dino Group's growing business size and the related expansion of the store network and rising LFL sales in existing stores, thereby necessitating higher costs associated with store upkeep and storage of merchandise.

General administration expenses

General administration expenses rose PLN 3.9 million, or 15.3%, to PLN 29.3 million in Q3 2021 compared to PLN 25.4 million in Q3 2020. This was caused mainly by the expansion of the Dino store network.

Costs by nature

The following table presents costs by nature.

(PLN 000s)	Q3 2021	Q3 2020	change	Q1-Q3 2021	Q1-Q3 2020	change
Depreciation and amortization	64,929	50,460	28.7%	179,193	144,452	24.1%
Consumption of materials and energy	269,096	212,888	26.4%	749,753	653,601	14.7%
External services	122,376	86,201	42.0%	310,367	235,834	31.6%
Taxes and fees	62,173	11,307	449.9%	175,726	38,332	358.4%
Employee benefits	393,081	313,074	25.6%	1,140,453	884,594	28.9%
Other costs by nature	15,286	12,102	26.3%	38,843	29,585	31.3%
Cost of goods and materials sold	2,265,955	1,744,875	29.9%	6,175,040	4,803,762	28.5%
Total costs by nature, including:	3,192,896	2,430,907	31.3%	8,769,375	6,790,160	29.1%
Items captured in cost of sales	2,616,417	1,977,058	32.3%	7,114,195	5,500,761	29.3%
Items captured in sales and marketing expenses	547,392	431,296	26.9%	1,569,677	1,213,498	29.4%
Items captured in general administration expenses	29,274	25,392	15.3%	80,238	70,938	13.1%
Movement in products	(187)	(2,839)	-93.4%	5,265	4,963	6.1%

Total costs by nature rose PLN 762.0 million, or 31.3%, to PLN 3,192.9 million in Q3 2021, compared to PLN 2,430.9 million in Q3 2020, mainly as a result of higher: (i) costs of goods and materials sold (up PLN 521.1 million), (ii) costs of employee benefits (up PLN 80.0 million) and (iii) consumption of materials and energy (up PLN 56.2 million). This growth was caused mainly by the expansion of the Dino store network and rising sales in the current store network (LFL). In addition, taxes and fees climbed PLN 50.9 million to PLN 62.2 million in connection with the new retail sales tax that took force at the outset of 2021.

The costs of employee benefits rose PLN 80.0 million, i.e. 25.6% to PLN 393.1 million in Q3 2021 compared to PLN 313.1 million in Q3 2020. This growth resulted primarily from the higher number of Dino Group employees from 24,050 as at 30 September 2020 to 29,632 as at 30 September 2021 in connection with the Dino Group's expanding business size and the related expansion of the Dino Group's store network and rising LFL sales in the existing network and, to a lesser extent, from the higher average salary in the Dino Group.

Consumption of materials and energy increased by PLN 56.2 million, or 26.4%, to PLN 269.1 million in Q3 2021 compared to PLN 212.9 million in Q3 2020. This growth was caused by the Dino Group's growing business size and the related expansion of the Dino Group's store network and rising LFL sales in the current store network.

External services, which comprised in particular transportation and maintenance services increased by PLN 36.2 million, or 42.0%, to PLN 122.4 million in Q3 2021 compared to PLN 86.2 million in Q3 2020. This growth was caused by the Dino Group's growing business size and the related expansion of the Dino Group's store network and rising LFL sales in the current store network, and to a lesser extent by higher prices for fuel and some services.

Financial expenses

Dino Group's financial expenses fell PLN 1.1 million, or 8.7%, to PLN 11.5 million in Q3 2021 compared to PLN 12.6 million in Q3 2020. This decline resulted mainly from lower interest for loans and borrowings and trade payables.

Balance sheet – assets

The table below presents selected line items of the balance sheet.

(PLN 000s)	30.09.2021	30.06.2021	31.12.2020	30.09.2020	Change 30.09.21 / 31.12.20	Change 30.09.21 / 30.09.20
Property, plant and equipment	4,583,239	4,345,648	3,749,480	3,359,690	22.2%	36.4%
Right-of-use assets	160,735	164,183	184,538	221,099	-12.9%	-27.3%
Intangible assets	98,029	97,902	99,050	99,449	-1.0%	-1.4%
Other non-financial assets (non-current)	0	2	6	8	-100.0%	-100.0%
Deferred tax assets	21,197	21,232	20,738	19,438	2.2%	9.0%
Total non-current assets	4,863,200	4,628,967	4,053,812	3,699,684	20.0%	31.4%
Inventories	971,820	889,653	875,147	726,262	11.0%	33.8%
Trade and other receivables	62,943	54,267	86,822	50,523	-27.5%	24.6%
Income tax receivables	38	88	2	8	1800.0%	375.0%
Other non-financial assets	62,595	54,624	73,367	50,000	-14.7%	25.2%
Other financial assets	1,219	1,053	942	634	29.4%	92.3%
Cash and cash equivalents	88,621	203,789	480,418	332,500	-81.6%	-73.3%
Total current assets	1,187,236	1,203,474	1,516,698	1,159,927	-21.7%	2.4%
TOTAL ASSETS	6,050,436	5,832,441	5,570,510	4,859,611	8.6%	24.5%

Total assets increased by PLN 479.9 million, i.e. 8.6%, from PLN 5,570.5 million as at 31 December 2020 to PLN 6,050.4 million as at 30 September 2021. Compared to 30 September 2020, total assets rose by PLN 1,190.8 million, or 24.5%. As at 30 September 2021, the main components of total assets were: (i) property, plant and equipment (constituting 75.8%) and (ii) inventories (constituting 16.1%).

Non-current assets increased by PLN 809.4 million, or by 20.0% from PLN 4,053.8 million as at 31 December 2020 to PLN 4,863.2 million as at 30 September 2021. This increase was caused mainly by an increase in property, plant and equipment, which in turn was caused primarily by the growth of the Dino Group sales network (new Dino stores) and capital expenditures. Current assets dropped by PLN 329.5 million, i.e. 21.7%, from PLN 1,516.7 million as at 31 December 2020 to PLN 1,187.2 million as at 30 September 2021. This drop was driven by cash and cash equivalents falling by PLN 391.8 million.

Balance sheet – liabilities and equity

The table below presents selected line items of the balance sheet.

(PLN 000s)	30.09.2021	30.06.2021	31.12.2020	30.09.2020	Change 30.09.21 / 31.12.20	Change 30.09.21 / 30.09.20
Equity	2,836,332	2,607,572	2,266,563	2,062,731	25.1%	37.5%
Share capital	9,804	9,804	9,804	9,804	0.0%	0.0%
Supplementary capital	2,707,720	2,699,610	2,063,322	2,040,699	31.2%	32.7%
Retained earnings	111,308	-109,342	185,937	4,728	-40.1%	2254.2%
Other equity	7,500	7,500	7,500	7,500	0.0%	0.0%
Total equity	2,836,332	2,607,572	2,266,563	2,062,731	25.1%	37.5%
Interest-bearing loans and borrowings	629,221	675,107	725,851	775,155	-13.3%	-18.8%
Lease liabilities (LT)	50,800	53,679	67,876	80,093	-25.2%	-36.6%
Other liabilities	150	150	180	180	-16.7%	-16.7%
Liabilities by virtue of outstanding securities (LT)	249,937	249,937	419,936	169,935	-40.5%	47.1%
Provisions for employee benefits	2,844	2,844	2,844	1,830	0.0%	55.4%
Deferred tax liability	38,543	31,638	6,555	20,343	488.0%	89.5%
Accruals and deferred revenue (LT)	2	9	14	6	-85.7%	-66.7%
Total non-current liabilities	971,497	1,013,364	1,223,256	1,047,542	-20.6%	-7.3%
Trade and other payables	1,682,289	1,713,023	1,695,163	1,313,253	-0.8%	28.1%
Current part of interest-bearing loans and borrowings	271,761	215,919	216,868	216,394	25.3%	25.6%
Lease liabilities (ST)	27,627	33,515	42,249	41,450	-34.6%	-33.3%
Liabilities by virtue of outstanding securities (ST)	170,923	170,907	930	80,352	-	112.7%

Income tax liabilities	26,962	6,721	80,509	53,974	-66.5%	-50.0%
Accruals and deferred revenue (ST)	61,713	70,088	43,640	42,895	41.4%	43.9%
Provisions for employee benefits and other provisions	1,332	1,332	1,332	1,020	0.0%	30.6%
Total current liabilities	2,242,607	2,211,505	2,080,691	1,749,338	7.8%	28.2%
Total liabilities	3,214,104	3,224,869	3,303,947	2,796,880	-2.7%	14.9%
TOTAL EQUITY AND LIABILITIES	6,050,436	5,832,441	5,570,510	4,859,611	8.6%	24.5%

As at 30 September 2021, the main components of liabilities were: (i) trade and other payables representing 52.3%; (ii) interest-bearing loans and borrowings (long-term) representing 19.6% thereof and (iii) interest-bearing loans and borrowings (current) representing 8.5%. Total liabilities fell PLN 89.8 million, or 2.7%, from PLN 3,303.9 million as at 31 December 2020 to PLN 3,214.1 million as at 30 September 2021.

The Dino Group's net debt² stood at PLN 1,311.6 million as at 30 September 2021, signifying growth of PLN 318.4 million compared to 31 December 2020. The net debt to EBITDA ratio for the last 12 months was 1.07x as at 30 September 2021. As at 31 December 2020 this ratio was 0.96x.

Cash flows

The table below presents selected line items of the statement of cash flows.

(PLN 000s)	Q3 2021	Q3 2020	change	Q1-Q3 2021	Q1-Q3 2020	change
Net cash from operating activities, including:	228,031	311,081	-26.7%	756,508	448,560	68.7%
<i>profit before tax</i>	281,584	231,059	21.9%	699,650	540,773	29.4%
<i>depreciation and amortization</i>	64,929	50,460	28.7%	179,193	144,452	24.1%
<i>movement in working capital</i>	(100,879)	36,818	-	(8,196)	(172,220)	-95.2%
<i>other</i>	(17,603)	(7,256)	142.6%	(114,138)	(64,445)	77.1%
Net cash from investing activities	(329,567)	(245,276)	34.4%	(1,038,462)	(680,900)	52.5%
Net cash from financing activities	(13,632)	(34,880)	-60.9%	(109,843)	170,120	-
Net increase in cash and cash equivalents	(115,168)	30,925	-	(391,797)	(62,220)	529.7%

The Dino Group generated PLN 228.0 million in net cash from operating activities in Q3 2021. In Q3 2020 these cash flows stood at PLN 311.1 million.

Net cash flow from investing activities totaled PLN 329.6 million in Q3 2021, i.e. it was up 34.4% over Q3 2020. The high level of capital expenditures stems chiefly from the high pace of new Dino store openings and the launch of the Company's seventh distribution center (in Sierpc in the Masovia region). Company expects that CAPEX will total roughly PLN 1.3 billion in the entire year of 2021.

2.1.3. Factors impacting Dino's operations and results

The Dino Management Board is of the opinion that the following factors may exert an impact on the Dino Group's business and results up to the end of 2021.

- pace of new store openings by Dino Polska and the related capital expenditures,
- changes in consumer spending precipitated by evolving business conditions,
- epidemiological situation in Poland,
- growth rate of the prices of consumer goods and services, in particular food and soft drinks,
- improved efficiency of the Company's operations, benefits resulting from economies of scale and optimization of operating expenses, as well as improved efficiency of logistics services provided to all stores.

² Defined as interest-bearing loans and borrowings and liabilities under lease agreements + liabilities by virtue of outstanding securities + current part of interest-bearing loans and borrowings and lease liabilities minus cash and cash equivalents.

Due to uncertainty about the future state of the economy, the Management Board's expectations and projections are subject to a high dose of uncertainty.

2.2. Shareholders of the Company and shares held by management board and supervisory board members

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino shares.

Shareholding structure of Dino Polska S.A. as at the Report Date

	Number of shares and number of votes at the Shareholder Meeting	Percentage of share capital and votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary ³	50,160,000	51.16%
Other shareholders	47,880,000	48.84%

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska S.A. Supervisory Board.

Michał Krauze, a Management Board Member of the Company, held 30,000 Company shares as at the Report Date. Compared to the publication date of the H1 2021 report, the number of shares held by Michał Krauze has not changed. Izabela Biadała, a Management Board Member, held 80 shares in the Company as at the Report Date (no change compared to the publication date of the H1 2021 report). Michał Muskała, a Management Board Member did not hold any shares in the Company as at the Report Date (no change compared to the publication date of the H1 2021 report).

The following Supervisory Board members held shares in Dino as at the Report Date: Tomasz Biernacki (Supervisory Board Chairman) – as detailed in the table above, Eryk Bajer (Supervisory Board Member) – 29,890 shares (jointly with a controlled entity) and Sławomir Jakszuk (Supervisory Board Member) – 1,600 shares. The number of shares in the Company held by the Supervisory Board members has not changed since the publication date of the H1 2021 report.

2.3. Operating Segments

The Dino Polska S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network.

Its revenues may be broken down by type of product or merchandise or product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would be problematic to ascertain the unambiguous impact of the allocation of resources on each category. As such, information on revenues generated in each category is of a limited decision-making value. Because the smallest area of business for which the Management Board reviews profitability ratios is the level of the Dino Polska S.A. Group as a whole, only one operating segment has been isolated.

(PLN 000s)

	01.01.2021- 30.09.2021	01.01.2020- 30.09.2020
Revenue on sales of products and services	1,112,933	916,113
Revenue on sales of goods and materials	8,385,142	6,446,024
Total	9,498,075	7,362,137

³ BT Kapital Sp. z o.o., a subsidiary of Tomasz Biernacki, holds 160 thousand Company shares.

3. CONDENSED CONSOLIDATED FINANCIAL STATEMENTS OF THE DINO POLSKA S.A. GROUP

3.1. Condensed consolidated statement of profit or loss

for the period from 1 January 2021 to 30 September 2021 (PLN 000s)

	<u>01.01.2021-</u> <u>30.09.2021</u>	<u>01.01.2020-</u> <u>30.09.2020</u>	<u>01.07.2021-</u> <u>30.09.2021</u>	<u>01.07.2020-</u> <u>30.09.2020</u>
Continuing operations				
Sales revenue	9,498,075	7,362,137	3,487,043	2,676,341
Cost of sales	(7,114,195)	(5,500,761)	(2,616,417)	(1,977,058)
Gross profit on sales	2,383,880	1,861,376	870,626	699,283
Other operating income	6,201	5,091	2,044	1,458
Sales and marketing expenses	(1,569,677)	(1,213,498)	(547,392)	(431,296)
General administration expenses	(80,238)	(70,938)	(29,274)	(25,392)
Other operating expenses	(8,838)	(3,762)	(3,105)	(631)
Operating profit	731,328	578,269	292,899	243,422
Financial income	810	2,939	166	210
Financial expenses	(32,488)	(40,435)	(11,481)	(12,573)
Profit before tax	699,650	540,773	281,584	231,059
Income tax	(129,881)	(100,395)	(52,824)	(42,596)
Net profit from continuing operations	569,769	440,378	228,760	188,463
Net profit for the reporting period	569,769	440,378	228,760	188,463
Profit attributable:				
To owners of the parent	569,769	440,378	228,760	188,463
Earnings per share:				
– basic earnings from profit attributable to owners of the parent	5.81	4.49	2.33	1.92
– basic earnings from profit from continuing operations attributable to owners of the parent	5.81	4.49	2.33	1.92
– diluted earnings from profit attributable to owners of the parent	5.81	4.49	2.33	1.92
– diluted earnings from profit from continuing operations attributable to owners of the parent	5.81	4.49	2.33	1.92

3.2. Condensed consolidated statement of comprehensive income

for the period from 1 January 2021 to 30 September 2021 (PLN 000s)

	01.01.2021- 30.09.2021	01.01.2020- 30.09.2020	01.07.2021- 30.09.2021	01.07.2020- 30.09.2020
Net profit for the reporting period	569,769	440,378	228,760	188,463
<i>Items not subject to reclassification to profit in subsequent reporting periods:</i>				
Net other comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	-	-	-	-
Net other comprehensive income	-	-	-	-
Comprehensive income in the reporting period	569,769	440,378	228,760	188,463
Comprehensive income attributable:				
To owners of the parent	569,769	440,378	228,760	188,463
Non-controlling shareholders	-	-	-	-
	569,769	440,378	228,760	188,463

3.3. Condensed consolidated statement of financial position

as at 30 September 2021 (PLN 000s)

	30.09.2021	30.06.2021	31.12.2020	30.09.2020
ASSETS				
Property, plant and equipment	4,583,239	4,345,648	3,749,480	3,359,690
Right-of-use assets	160,735	164,183	184,538	221,099
Intangible assets	98,029	97,902	99,050	99,449
Other non-financial assets	-	2	6	8
Deferred tax assets	21,197	21,232	20,738	19,438
Total non-current assets	4,863,200	4,628,967	4,053,812	3,699,684
Inventories	971,820	889,653	875,147	726,262
Trade and other receivables	62,943	54,267	86,822	50,523
Income tax receivables	38	88	2	8
Other non-financial assets	62,595	54,624	73,367	50,000
Other financial assets	1,219	1,053	942	634
Cash and cash equivalents	88,621	203,789	480,418	332,500
Total current assets	1,187,236	1,203,474	1,516,698	1,159,927
TOTAL ASSETS	6,050,436	5,832,441	5,570,510	4,859,611
EQUITY AND LIABILITIES				
Equity (attributable to owners of the parent)	2,836,332	2,607,572	2,266,563	2,062,731
Share capital	9,804	9,804	9,804	9,804
Supplementary capital	2,707,720	2,699,610	2,063,322	2,040,699
Retained earnings	111,308	(109,342)	185,937	4,728
Other equity	7,500	7,500	7,500	7,500
Non-controlling interests	-	-	-	-
Total equity	2,836,332	2,607,572	2,266,563	2,062,731
Interest-bearing loans and borrowings	629,221	675,107	725,851	775,155
Lease liabilities	50,800	53,679	67,876	80,093
Liabilities by virtue of outstanding securities	249,937	249,937	419,936	169,935
Other liabilities	150	150	180	180
Provisions for employee benefits	2,844	2,844	2,844	1,830
Deferred tax liability	38,543	31,638	6,555	20,343
Accruals and deferred revenue	2	9	14	6
Total non-current liabilities	971,497	1,013,364	1,223,256	1,047,542

Trade and other payables	1,682,289	1,713,023	1,695,163	1,313,253
Current part of interest-bearing loans and borrowings	271,761	215,919	216,868	216,394
Lease liabilities	27,627	33,515	42,249	41,450
Liabilities by virtue of outstanding securities	170,923	170,907	930	80,352
Income tax liabilities	26,962	6,721	80,509	53,974
Accruals and deferred revenue	61,713	70,088	43,640	42,895
Provisions for employee benefits	1,332	1,332	1,332	1,020
Total current liabilities	2,242,607	2,211,505	2,080,691	1,749,338
Total liabilities	3,214,104	3,224,869	3,303,947	2,796,880
TOTAL EQUITY AND LIABILITIES	6,050,436	5,832,441	5,570,510	4,859,611

3.4. Condensed consolidated statement of cash flows

for the period from 1 January 2021 to 30 September 2021 (PLN 000s)

	01.01.2021- 30.09.2021	01.01.2020- 30.09.2020	01.01.2021- 30.09.2021	01.07.2020- 30.09.2020
Cash flow from operating activities				
Profit before tax	699,650	540,773	281,584	231,059
Adjustments for the line items:	56,858	(92,213)	(53,553)	80,022
Depreciation and amortization	179,193	144,452	64,929	50,460
(Profit)/loss on investment activity	3,652	1,309	866	160
Movement in trade receivables and other receivables	50,507	28,303	(20,596)	(6,186)
Movement in inventories	(96,673)	(102,267)	(82,167)	(12,099)
Movement in liabilities, except for loans and borrowings	37,970	(98,256)	1,884	55,103
Interest revenue	(669)	(953)	(275)	(172)
Interest expense	32,561	40,405	11,487	12,559
Movement in prepayments, accruals and deferred revenue	2,253	169	(4,089)	607
Movement in provisions	-	-	-	-
Income tax paid	(151,936)	(105,375)	(25,592)	(20,410)
Other	-	-	-	-
Net cash from operating activities	756,508	448,560	228,031	311,081
Cash flow from investing activities				
Sale of property, plant and equipment and intangible assets	2,489	1,160	801	519
Purchase of property, plant and equipment and intangible assets	(1,041,343)	(682,675)	(330,476)	(245,769)
Interest received	669	953	275	172
Repayment of extended borrowings	1,043	518	366	518
Granting of loans	(1,320)	(856)	(533)	(716)
Net cash from investing activities	(1,038,462)	(680,900)	(329,567)	(245,276)
Cash flow from financing activities				
Payment of lease liabilities	(35,545)	(44,564)	(12,101)	(14,232)
Proceeds from obtained loans/borrowings	128,070	401,290	77,932	49,980
Repayment of loans/borrowings	(169,807)	(126,201)	(67,975)	(38,069)
Redemption of debt securities	-	(20,000)	-	(20,000)
Interest paid	(32,561)	(40,405)	(11,488)	(12,559)
Net cash from financing activities	(109,843)	170,120	(13,632)	(34,880)
Net increase in cash and cash equivalents	(391,797)	(62,220)	(115,168)	30,925
Cash at the beginning of the period	480,418	394,720	203,789	301,575
Cash at the end of the period	88,621	332,500	88,621	332,500

3.5. Condensed consolidated statement of changes in equity

for the period from 1 January 2021 to 30 September 2021 (PLN 000s)

	Attributable to owners of the parent				
	Share capital	Supplementary capital	Retained earnings	Other equity	Total
As at 1 January 2021	9,804	2,063,322	185,937	7,500	2,266,563
Net profit for 2021	-	-	569,769	-	569,769
Net other comprehensive income for 2021	-	-	-	-	-
<i>Comprehensive income for the year</i>	-	-	569,769	-	569,769
Distribution of the 2020 financial result	-	644,398	(644,398)	-	-
As at 30 September 2021	9,804	2,707,720	111,308	7,500	2,836,332
As at 1 January 2020	9,804	1,652,132	(47,083)	7,500	1,622,353
Net profit for 2020	-	-	643,917	-	643,917
Net other comprehensive income for 2020	-	-	293	-	293
<i>Comprehensive income for the year</i>	-	-	644,210	-	644,210
Distribution of the 2019 financial result	-	411,190	(411,190)	-	-
As at 31 December 2020	9,804	2,063,322	185,937	7,500	2,266,563
As at 1 January 2020	9,804	1,652,132	(47,083)	7,500	1,622,353
Net profit for 2020	-	-	440,378	-	440,378
Net other comprehensive income for 2020	-	-	-	-	-
<i>Comprehensive income for the year</i>	-	-	440,378	-	440,378
Distribution of the 2019 financial result	-	388,567	(388,567)	-	-
As at 30 September 2020	9,804	2,040,699	4,728	7,500	2,062,731

4. CONDENSED STANDALONE FINANCIAL STATEMENTS OF DINO POLSKA S.A.

4.1. Selected standalone financial data

	PLN 000s		EUR 000s*	
	01.01.2021- 30.09.2021	01.01.2020- 30.09.2020	01.01.2021- 30.09.2021	01.01.2020- 30.09.2020
Sales revenue	9,497,291	7,352,287	2,083,425	1,655,175
Operating profit	565,304	436,829	124,011	98,341
Profit before tax	531,508	401,481	116,597	90,383
Net profit	429,707	324,670	94,265	73,091
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	4.38	3.31	0.96	0.75
Cash flow from operating activities	661,619	361,801	145,140	81,450
Cash flow from investing activities	(989,913)	(531,026)	(217,158)	(119,547)
Cash flow from financing activities	(41,437)	89,377	(9,090)	20,121
Net change in cash and cash equivalents	(369,731)	(79,848)	(81,108)	(17,976)

In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- NBP's average exchange rate for Q1-Q3 2021:	4.5585
- NBP's average exchange rate for Q1-Q3 2020:	4.4420

	PLN 000s		EUR 000s*	
	30.09.2021	31.12.2020	30.09.2021	31.12.2020
Total assets	5,504,673	4,987,834	1,188,170	1,080,834
Total non-current assets	4,194,257	3,424,928	905,320	742,162
Total current assets	1,310,416	1,562,906	282,850	338,673
Equity	2,145,914	1,716,207	463,190	371,892
Share capital	9,804	9,804	2,116	2,124
Non-current liabilities	763,614	1,013,795	164,824	219,683
Current liabilities	2,460,921	2,166,999	531,184	469,576

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 30 September 2021:	4.6329
- NBP's average exchange rate as at 31 December 2020:	4.6148

4.2. Condensed standalone statement of profit or loss

for the period from 1 January 2021 to 30 September 2021 (PLN 000s)

<i>(in thousands of PLN)</i>	01.01.2021- 30.09.2021	01.01.2020- 30.09.2020	01.07.2021- 30.09.2021	01.07.2020- 30.09.2020
A. Net revenues on sales and equivalents	9,497,291	7,352,287	3,486,806	2,673,421
I. Net revenue on sales of products	28,667	14,108	11,269	5,144
IV. Net revenue on sales of goods and materials	9,468,624	7,338,179	3,475,537	2,668,277
B. Operating expenses	8,929,055	6,916,013	3,248,257	2,494,386
I. Depreciation and amortization	132,406	104,935	47,730	36,703
II. Consumption of materials and energy	128,589	105,692	43,611	37,516
III. External services	447,373	350,729	169,364	128,663
IV. Taxes and fees	165,569	29,583	59,012	8,542
V. Employee benefits	840,363	648,311	285,537	228,668
VI. Social security and other benefits	199,676	149,110	70,418	54,408
VII. Other costs by nature	38,147	29,368	14,979	12,018
VIII. Cost of goods and materials sold	6,976,932	5,498,285	2,557,606	1,987,868
C. Sales profit (loss) (A – B)	568,236	436,274	238,549	179,035
D. Other operating income	5,015	4,264	1,521	1,112
E. Other operating expenses	7,947	3,709	2,937	678
F. Operating profit (loss) (C+D-E)	565,304	436,829	237,133	179,469
G. Financial income	4,227	7,018	65	1,806
H. Financial expenses	38,023	42,366	12,922	13,598
I. Profit / (loss) before tax (F + G - H)	531,508	401,481	224,276	167,677
J. Income tax	101,801	76,811	42,932	32,148
K. Other mandatory decreases of profit (increases of loss)	-	-	-	-
L. Net profit (loss) (I – J – K)	429,707	324,670	181,344	135,529

4.3. Condensed standalone balance sheet

as at 30 September 2021 (PLN 000s)

(in thousands of PLN)

	30.09.2021	30.06.2021	31.12.2020	30.09.2020
Assets				
A. Non-current assets	4,194,257	3,965,511	3,424,928	3,124,041
I. Intangible assets	22,710	22,991	24,630	25,522
II. Property, plant and equipment	3,364,025	3,135,061	2,597,950	2,299,392
III. Non-current receivables	-	-	-	-
IV. Non-current investments	755,831	755,831	755,831	755,835
V. Non-current prepayments and accruals	51,691	51,628	46,517	43,292
B. Current assets	1,310,416	1,310,848	1,562,906	1,192,111
I. Inventories	939,980	851,785	847,617	695,309
II. Current receivables	101,001	80,108	142,519	75,774
III. Current investments	253,500	361,684	569,586	408,267
IV. Current prepayments and accruals	15,935	17,271	3,184	12,761
C. Contributions due to share capital	-	-	-	-
D. Treasury stock	-	-	-	-
Total assets	5,504,673	5,276,359	4,987,834	4,316,152

(in thousands of PLN)

	30.09.2021	30.06.2021	31.12.2020	30.09.2020
Equity and liabilities				
A. Equity	2,145,914	1,964,570	1,716,207	1,572,841
I. Share capital	9,804	9,804	9,804	9,804
II. Supplementary capital	1,676,055	1,676,055	1,208,019	1,208,019
III. Revaluation reserve (fund)	-	-	-	-
IV. Other reserve capital	-	-	-	-
V. Profit (loss) brought forward	-	-	-	-
VI. Net profit (loss)	429,707	248,363	468,036	324,670
VII. Other items of equity	30,348	30,348	30,348	30,348
VIII. Charges to net profit during the financial year (negative figure)	-	-	-	-
B. Liabilities and provisions for liabilities	3,358,759	3,311,789	3,271,627	2,743,311
I. Provisions for liabilities	88,952	82,286	51,673	63,293
II. Non-current liabilities	763,614	804,236	1,013,795	814,252
III. Current liabilities	2,460,921	2,369,270	2,166,999	1,832,846
IV. Accruals and deferred revenue	45,272	55,997	39,160	32,920
Total liabilities and equity	5,504,673	5,276,359	4,987,834	4,316,152

4.4. Condensed standalone statement of cash flows

for the period from 1 January 2021 to 30 September 2021 (PLN 000s)

(in thousands of PLN)

	01.01.2021- 30.09.2021	01.01.2020- 30.09.2020	01.07.2021- 30.09.2021	01.07.2020- 30.09.2020
A. Cash flow from operating activities				
I. Net profit (loss)	429,707	324,670	181,344	135,529
II. Total adjustments	231,911	37,131	11,271	147,291
1. Depreciation and amortization	132,406	104,935	47,730	36,703
2. Gains (losses) arising from changes in foreign currency exchange rates	-	-	-	-
3. Interest and profit sharing (dividends)	30,267	39,400	11,210	17,386
4. Profit (loss) on investing activity	3,253	1,382	951	259
5. Movement in provisions	37,279	23,654	6,666	7,514
6. Movement in inventories	(92,362)	(94,114)	(88,194)	(14,416)
7. Movement in receivables	41,575	24,288	(20,513)	(5,104)
8. Movement in current liabilities, except for loans and borrowings	91,306	(45,080)	62,873	114,602
9. Movement in prepayments, accruals and deferred revenue	(11,813)	(17,334)	(9,452)	(9,653)
III. Net cash flow from operating activities (I±II)	661,618	361,801	192,615	282,820
B. Cash flow from investing activities				
I. Inflows	77,041	91,166	39,807	48,348
1. Sale of intangible assets and property, plant and equipment	1,988	501	480	372
2. Sale of investments in real property and intangible assets	-	-	-	-
3. From financial assets, of which:	75,053	90,665	39,327	47,976
a) in related entities	75,052	90,312	39,327	47,975
b) in other entities	1	353	-	1
- interest	1	353	-	1
II. Outflows	(1,066,954)	(622,192)	(364,326)	(232,646)
1. Purchase of intangible assets and property, plant and equipment	(941,646)	(602,092)	(316,833)	(224,646)
2. Investments in real property and intangible assets	-	-	-	-
3. Towards financial assets, of which:	(125,308)	(20,100)	(47,493)	(8,000)
a) in related entities	(125,308)	(20,100)	(47,493)	(8,000)
III. Net cash flow from investing activities (I-II)	(989,913)	(531,026)	(324,519)	(184,298)
C. Cash flow from financing activities				
I. Inflows	144,069	301,290	79,931	(20)
1. Net inflows on the delivery of shares (share issue) and other equity instruments and capital contributions	-	-	-	-
2. Loans and borrowings	144,069	301,290	79,931	(20)
3. Issue of debt securities	-	-	-	-
4. Other financial proceeds	-	-	-	-
II. Outflows	(185,506)	(211,913)	(64,314)	(80,384)
1. Purchase of treasury shares	-	-	-	-
2. Dividends and other distributions to owners	-	-	-	-
3. Profit-sharing expenditures other than distributions to owners	-	-	-	-
4. Repayment of loans and borrowings	(126,147)	(116,557)	(44,771)	(34,230)
5. Redemption of debt securities	-	(20,000)	-	(20,000)
6. On account of other financial liabilities	-	-	-	-
7. Payment of finance lease liabilities	(22,181)	(33,574)	(6,797)	(10,691)
8. Interest	(31,090)	(37,111)	(11,087)	(13,814)
9. Other financial expenditures	(6,088)	(4,671)	(1,659)	(1,649)
III. Net cash from financing activities (I-II)	(41,437)	89,377	15,617	(80,404)
D. Total net cash flow (A.III±B.III±C.III)	(369,732)	(79,848)	(116,287)	18,118
E. Balance sheet movement in cash, including	(369,732)	(79,848)	(116,287)	18,118
F. Cash at the beginning of the period	423,645	377,737	170,200	279,771
G. Cash at the end of the period (F±D), including	53,913	297,889	53,913	297,889
- restricted cash	968	3	953	(487)

4.5. Condensed standalone statement of changes in equity

for the period from 1 January 2021 to 30 September 2021 (PLN 000s)

(in thousands of PLN)

	01.01.2021- 30.09.2021	01.01.2020- 31.12.2020	01.01.2020- 30.09.2020
I. Equity at the beginning of the period (OB)	1,716,207	1,248,171	1,248,171
I.a. Equity at the beginning of the period (OB), adjusted	1,716,207	1,248,171	1,248,171
1. Share capital at the beginning of the period	9,804	9,804	9,804
1.1. Movement in share capital	-	-	-
1.2. Share capital at the end of the period	9,804	9,804	9,804
2. Supplementary capital at the beginning of the period	1,208,019	889,818	889,818
2.1. Changes to supplementary capital	468,036	318,201	318,201
(i) increase	468,036	318,201	318,201
- profit distribution	468,036	318,201	318,201
b) decrease	-	-	-
2.2. Balance of supplementary capital at the end of the period	1,676,055	1,208,019	1,208,019
3. Revaluation reserve at the beginning of the period	-	-	-
3.1. Changes in the revaluation reserve	-	-	-
3.2. Revaluation reserve at the end of the period	-	-	-
4. Other reserve capital at the beginning of the period	-	-	-
4.1. Change in other reserve capital	-	-	-
4.2. Other reserve capital at the end of the period	-	-	-
5. Profit (loss) brought forward at the beginning of the period	468,036	318,201	318,201
5.1. Profit brought forward at the beginning of the period	468,036	318,201	318,201
5.2. Profit brought forward at the beginning of the period, adjusted	468,036	318,201	318,201
(i) increase	-	-	-
b) decrease	(468,036)	(318,201)	(318,201)
- distribution of profits brought forward	(468,036)	(318,201)	(318,201)
5.3. Profit brought forward at the end of the period	-	-	-
5.4. Loss brought forward at the beginning of the period	-	-	-
5.5. Loss brought forward at the beginning of the period, adjusted	-	-	-
(i) increase	-	-	-
b) decrease	-	-	-
5.6. Losses brought forward at the end of the period	-	-	-
5.7. Profit (loss) brought forward at the end of the period	-	-	-
6. Net result	429,707	468,036	324,670
a) net profit	429,707	468,036	324,670
b) net loss	-	-	-
c) charges to profit	-	-	-
7. Other items of equity at the beginning of the period	30,348	30,348	30,348
7.1 Change in other items of equity	-	-	-
7. Other items of equity at the end of the period	30,348	30,348	30,348
8. Charges to net profit during the financial year (negative figure)	-	-	-
II. Equity at the end of the period (CB)	2,145,914	1,716,207	1,572,841
III. Equity after considering the proposed distribution of profits (coverage of losses)	2,145,914	1,716,207	1,572,841

5. NOTES TO THE FINANCIAL STATEMENTS

5.1. General rules adopted for the preparation of the interim quarterly statements

Consolidated statements

The presented interim (quarterly) condensed consolidated financial statements were prepared:

- pursuant to the International Accounting Standard 34 – Interim Financial Reporting and International Financial Reporting Standards (hereinafter “IFRS”) published in the Commission Regulation (EC) no. 1725/2003 of 29 September 2003, as amended,
- to the extent not regulated by the above standards – according to the requirements of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister’s Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the consolidated financial statements for the year 2020.

These interim (quarterly) condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future.

The interim (condensed) consolidated financial statements for the period from 1 January 2021 to 30 September 2021 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

Standalone financial statements

The presented interim (quarterly) condensed standalone financial statements were prepared according to the following:

- provisions of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- requirements set forth in the Finance Minister’s Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the standalone financial statements for the year 2020.

These interim (quarterly) standalone financial statements have been prepared with the assumption that the Company will continue its business as a going concern in the foreseeable future.

The interim (condensed) standalone financial statements for the period from 1 January 2021 to 30 September 2021 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

The differences in the value of the disclosed data and the material differences pertaining to the accepted accounting standards (policies) between the financial statements drawn up in accordance with Polish Accounting Standards and the financial statements drawn up according to IFRS

The Company is the Group’s parent company, which has an obligation to prepare consolidated financial statements according to the IFRS standards endorsed by the EU. The Group in which the Company is the parent company prepared its first annual consolidated financial statements compliant with IFRS endorsed by the EU for the financial year ended 31 December 2013. The Group selected 1 January 2013 as the date of transition to IFRS.

The Company’s date of transition to IFRS cannot be determined definitively because the Company has not made a decision on that date, nor has it prepared its first financial statements compliant with IFRS endorsed by the EU.

Had the financial statements been prepared in accordance with IFRS, the main differences between the accounting standards accepted for the attached financial statements and IFRS, under the assumption that the date of transition to IFRS is 1 January 2013, would pertain in particular to the following areas:

- determination of the residual value of fixed assets,
- separation of components and determination of depreciation charges for the actual periods of use,
- retraction of the calculated depreciation charges for trademarks as of the date of the Group's transition to IFRS,
- recognition of fixed assets and lease liabilities under IFRS16.

The presentation of some lines items of the financial statements may differ between Polish Accounting Standards and IFRS. The differences in presentation do not affect the Company's equity and net result. The components of the various line items of the financial statements and the scope of additional information to the financial statements according to the Polish Accounting Standards and IFRS may differ to a material degree.

Table depicting the effects of the disclosed differences in net profit and equity:

	30.09.2021
Equity according to PAS	2,145,914
Adjusted depreciation and amortization on account of residual value	1,492
Adjusted depreciation and amortization on account of the separation of components	(3,315)
Adjustment - amortization of trademarks	7,619
Adjustment - lease of fixed assets (IFRS 16)	(9,084)
Equity according to IFRS	2,142,626
Net profit according to PAS	429,707
Adjusted depreciation and amortization on account of residual value	(29)
Adjusted depreciation and amortization on account of the separation of components	(1,512)
Adjustment - amortization of trademarks	586
Adjustment - lease of fixed assets (IFRS 16)	(920)
Net profit according to IFRS	427,832
Other comprehensive income	-

The identification and measurement of these differences require the preparation of estimates and assumptions that do affect the disclosed figures. Even though the accepted assumptions and estimates are based on the Company's best knowledge, the actual figures may vary from the anticipated figures. This note identifying the major areas of difference between Polish Accounting Standards and IFRS has been drawn up on the basis of IFRS in force as at 30 September 2021 and under the assumption that the date for transition to IFRS is 1 January 2013. Since work is still in progress on more standards and amending the current standards it is possible that the standards according to which the Company will prepare its first financial statements complying with IFRS will differ from the standards applicable to the preparation of this note. The assumption concerning the date as of which the values of assets and liabilities would be determined in the Company's financial statements complying with IFRS stems from the option for the Management Board to utilize the exemption contemplated by paragraph 24 of IFRS 1, according to which the Company may accept the values carried in the parent company's consolidated financial statements compliant with IFRS on the basis of the parent company's date of transition to IFRS, i.e. 1 January 2013; however, the Company's Management Board may in any event alter that decision and it may accept its own date for the transition to applying IFRS.

Moreover, according to IFRS, only complete financial statements containing a balance sheet, a statement of comprehensive income and/or a statement of profit or loss, a statement of changes in equity, a statement of cash flows with comparable data and notes may accurately present financial standing, business results and cash flow according to IFRS.

5.2. Group Overview

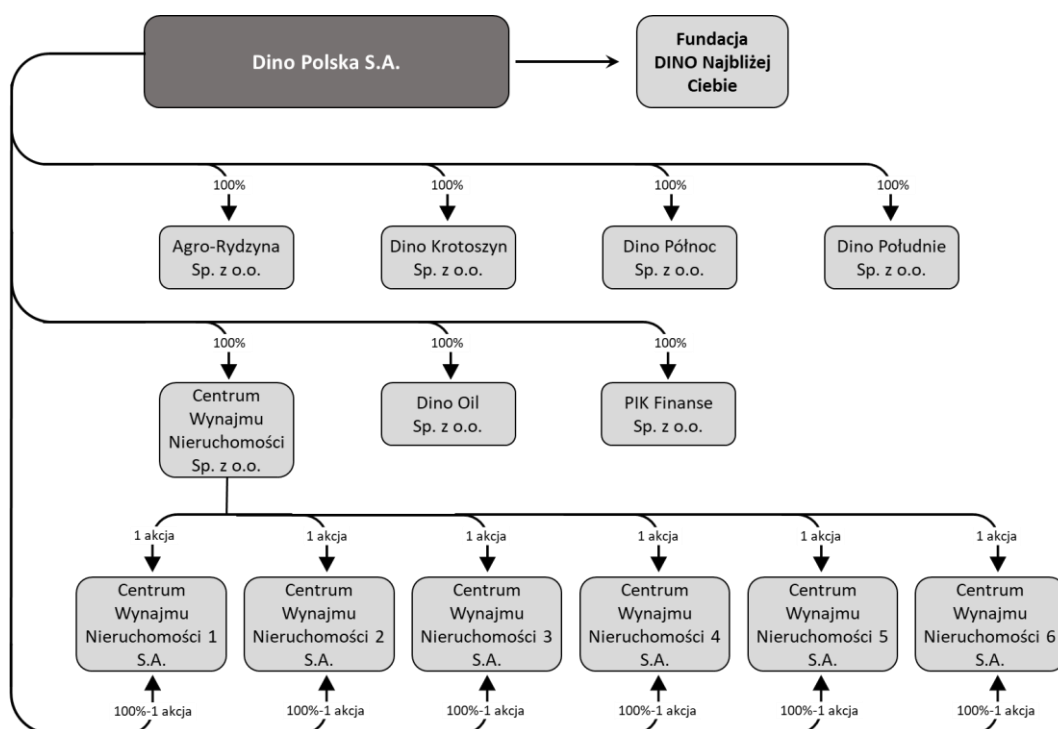
Dino Polska is the parent company of the Dino Polska Group. The company runs a business involving the management of the store network under the Dino brand. The Company manages, among others, the logistics of supply of products to the stores, sales, the selection of the product range offered in the stores and it supports other subsidiaries (Real Estate Lease Centers) in the execution of investment processes related to securing new sites and

building new stores. The Company also owns most of the real properties on which the stores are located and leases facilities in which the stores are located from third parties and other Group Companies that own the properties.

Dino Polska is run by a three-person Management Board in the following composition: Izabela Biadała, Chief Operating and Administrative Officer, Michał Krauze, Chief Financial Officer and Management Board Member and Michał Muskała, Chief Investment Project Officer and Management Board Member. On 3 September 2021 the Company's Supervisory Board appointed the aforementioned persons to another three-year term of office in the Management Board commencing on 6 October 2021.

The Company's Supervisory Board functions in a five-person composition (Tomasz Biernacki – Chairman and members: Eryk Bajer, Sławomir Jakszuk, Piotr Nowjalis and Maciej Polanowski).

The Group consists of Dino Polska S.A. and the following subsidiaries:



In Q3 2021 there were no major changes to the organization of the Dino Polska Group.

5.3. Seasonality and business cycles

Sales revenues and financial results reported in individual quarters reflect the seasonality of sales. The Group posts increased sales revenues in the period close to holidays and in the summer. Moreover, Dino Group's revenues also depend on the number of store openings, which in the winter, especially in the first quarter of the year, is lower than in the remaining quarters of the year, in particular lower than in Q3 and Q4, because of the weather conditions hindering construction work.

5.4. Other information

Non-recurring amounts and events

The epidemiological situation in Poland was an atypical event in the Dino Group's business in the period from 1 January 2021 to 30 September 2021. In connection with this situation the Company has been applying a rigorous sanitary regime in all its areas of activity, especially in the Dino store network, the distribution centers and in its production plant. The Company monitors the epidemiological situation and its impact on its business on an ongoing basis. As at the date of this Report, all areas of the Company's operating activity are functioning efficiently and

there are no significant reasons for revising the performance targets or plans set by the Management Board for 2021.

Impairment losses

In the period covered by this report, the Group did not recognize any impairment losses for inventories.

Consolidated financial data for the period from 1 January 2021 to 30 September 2021

(PLN 000s)	30.09.2021	31.12.2020	Change
Impairment losses on receivables	328	443	(115)

Unconsolidated financial data for the period from 1 January 2021 to 30 September 2021

(PLN 000s)	30.09.2021	31.12.2020	Change
Impairment losses on receivables	262	375	(113)

Information on the recognition, increase, use and reversal of provisions

Consolidated financial data for the period from 1 January 2021 to 30 September 2021

(PLN 000s)	30.09.2021	31.12.2020	Change
Deferred tax liability	38,543	6,555	31,988
Provision for pension and similar benefits	4,176	4,176	-
	42,719	10,731	31,988

Unconsolidated financial data for the period from 1 January 2021 to 30 September 2021

(PLN 000s)	30.09.2021	31.12.2020	Change
Deferred tax liability	85,195	47,916	37,279
Provision for pension and similar benefits	3,757	3,757	-
	88,952	51,673	37,279

Information on deferred tax liabilities and assets

Consolidated financial data for the period from 1 January 2021 to 30 September 2021

(PLN 000s)	30.09.2021	31.12.2020	Change
Deferred tax liability	38,543	6,555	31,988
Deferred tax asset	21,197	20,738	459
			31,529

Unconsolidated financial data for the period from 1 January 2021 to 30 September 2021

(PLN 000s)	30.09.2021	31.12.2020	Change
Deferred tax liability	85,195	47,916	37,279
Deferred tax asset	51,691	46,517	5,174
			32,105

Material purchase and sale transactions of property, plant and equipment

In the presented period, purchases related to the further expansion of the Dino Group store network and expansion of warehouse space as well as the purchases related to store and warehouse fit-outs constituted major transactions involving the purchase of property, plant and equipment. In the period from 1 January to 30 September 2021, the Group incurred capital expenditures of approximately PLN 985 million, including fixed assets under construction (in 2020 this level was approximately PLN 605 million).

Material obligations on account of property, plant and equipment purchases

As at the date of the financial statements, liabilities for property, plant and equipment purchases were related mainly to the purchase of construction services related to the ongoing rollout of the Dino Polska Group's store network. They totaled PLN 131,328 thousand. At the end of Q3 2020, investment commitments were PLN 83,980 thousand.

Material litigation-related settlements

No material litigation transpired in the period from 1 January 2021 to 30 September 2021.

Correction of errors of previous periods

In the period covered by these statements, there were no corrections of errors of previous periods.

Changes in the economic situation and business conditions with material effect on the fair value of financial assets and financial liabilities

No occurrences covered by this item occurred in the reporting period.

Information on default on a loan or borrowing or breach of material provisions of loan or borrowing agreements

No occurrences covered by this item occurred in the reporting period.

Information on related party transactions

Related party transactions were routine in nature and concluded on an arm's length basis, at prices no different from the prices used in transactions between unrelated parties. Intra-Group transactions were eliminated in the consolidation process.

Information on changes in the fair value measurement methodology for financial instruments measured at fair value and changes in the classification of financial instruments

In this reporting period, no changes were made to the fair value measurement methodology and no changes were made to the classification of financial assets resulting from the change of purpose or use of such assets.

Information on the issue, redemption and repayment of non-equity and equity securities

No events referred to in this header occurred in the reporting period.

Information on dividend paid (or declared), in total and per share, for common and preference shares

During the reporting period, the Parent Company did not pay out any dividend.

Events taking place after the date of the quarterly condensed financial statements, which were not included in the statements but may materially affect the issuer's future financial results

By the date of these financial statements, no events occurred that may materially affect the Group's future financial results.

Information on changes in contingent liabilities or contingent assets that have taken place since the end of the previous financial year

No change in contingent assets was recorded in the reporting period. At the end of the reporting period the Group had contingent liabilities arising from concluded preliminary agreements in the amount of PLN 687,170 thousand (as at 30 September 2020: PLN 763,240 thousand).

Other information that can materially affect the assessment of the issuer's assets, financial position and financial result

No events other than the ones described above occurred in the reporting period that could materially affect the assessment of the Group's assets, financial position and financial result.

6. OTHER INFORMATION

Position of the Management Board on possibility of achieving the previously published financial performance forecasts

The Company's Management Board did not publish any forecasts for 2021.

Information about litigation and material proceedings pending in a competent body for arbitration or a public administrative authority

According to the Company's best knowledge, no material proceedings pertaining to liabilities or accounts receivable of Dino Polska or its subsidiaries are pending before a court, competent authority for an administrative proceeding or public administration authority.

Information on related party transactions

Both the Parent Company and its subsidiaries enter into transactions on the arm's length basis.

Sureties for loans and borrowings and guarantees extended by the issuer or its subsidiary

Neither Dino Polska, nor any subsidiary of Dino Polska extended any material sureties or guarantees to entities from outside the Dino Group in Q3 2021.

Other information

On 10 September 2021 the Company's Management Board adopted a resolution to modify the bond issuance program of whose creation the Company reported on 21 September 2017 in current report no. 19/2017. This modification entails an increase in its total value from PLN 500 million to PLN 1 billion up to which the Company can issue bonds.

On 12 October 2021, the Company's Management Board adopted a resolution to issue, under the Company's Bond Issue Program of 21 September 2017 (as amended) 200,000 secured bearer bonds, series 1/2021 with a par value of PLN 1,000 each and a total par value of PLN 200,000,000 ("Bonds"). The bonds are secured under sureties provided by selected Dino Polska Group companies. The issue price of the Bonds is equal to their par value. The bonds were offered for purchase pursuant to art. 33 item 1 of the Bond Act of 15 January 2015 in a manner that does not require the Company to prepare a prospectus or information memorandum. The Bonds bear interest at a floating interest rate of WIBOR 3M plus a fixed margin of 1.2 percentage points per annum.

The Bonds were issued on 20 October 2021 and registered in the securities depository run by the National Depository for Securities (KDPW S.A.). The bonds will be introduced to be traded in the alternative trading system run by Warsaw Stock Exchange S.A. The redemption date of the Bonds was set for 20 October 2025.

Up to the report's date of publication, no other material events occurred that would require disclosure.

SIGNATURES OF THE MANAGEMENT BOARD MEMBERS

Michał Krauze – Management Board Member

Izabela Biadała – Management Board Member

Michał Muskała – Management Board Member

Krotoszyn, 4 November 2021